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Case Number: 22STCV30217 Hearing Date: July 31, 2026 Dept: 529

AIR TIGER EXPRESS (USA) INC. v. CHAO-TIEN

"STEPHEN" HUANG, ET AL.

PLAINTIFF

AND CROSS-DEFENDANT AIR TIGER EXPRESS (USA), INC.'S DEMURRER TO DEFENDANTS AND
CROSS-COMPLAINANTS CHAO-TIEN "STEPHEN" HUANG AND STRAIGHT FORWARDING, INC.'S
FIRST AMENDED CROSS-COMPLAINT

Date

of Hearing: July 31, 2026 Trial Date: November
30, 2026

Department: 529 Case No.: 22STCV30217

Moving

Party: Plaintiff/Cross-Defendant

Air Tiger Express (USA), Inc.

Responding

Party: Defendant/Cross-Complainant

Stephen Huang and Straight Forwarding, Inc.

Meet

and Confer: Attempted. (Purdy Decl.)

BACKGROUND

This is a trade secrets and appropriation case. In early 2019, on

behalf of the Defendant Straight Forwarding, Defendant Eric Wu entered the Plaintiff Air Tiger's offices and induced its employees to work for Straight Forwarding and upon their departure, take certain business records with them, including trade secrets.

On September 15, 2022, Plaintiff Air Tiger filed a complaint against Chao-Tien "Stephen" Huang, Eric Wu, and Straight Forwarding, Inc. alleging the following: (1) misappropriation of trade secrets; (2) trespass; (3) intentional interference with prospective economic advantage; (4) breach of fiduciary duties; (5) breach of comprehensive computer data access and fraud act; (6) breach of comprehensive computer data access and fraud act; (7) violation of the Computer Fraud and Abuse Act. Upon leave, Plaintiff Air Tiger filed a First Amended Complaint adding two more causes of action for breach of contract and aiding and abetting.

On August 7, 2025, Plaintiff filed a Second Amended Complaint, removing their intentional interference with prospective economic advantage. On January 5, 2026, Plaintiff filed a Third Amended Complaint.

Chao-Tien "Stephen" Huang and Straight Forwarding, Inc. filed a Cross-Complaint against Air Tiger Express (USA), Inc. for interference with prospective economic relationships, negligent interference with prospective economic advantage, trade libel, and unfair competition.

[Tentative] Ruling

Plaintiff/Cross-Defendant Air Tiger Express (USA), Inc.'s Demurrer to the First Amended Cross-Complaint is **OVERRULED**.

discussion

Plaintiff/Cross-Defendant Air Tiger Express (USA), Inc. demurs to the First Amended Cross-Complaint filed by Defendants/Cross-Complainants Chao-Tien "Stephen" Huang and Straight Forwarding, Inc. on the grounds that all four causes of action fail to state facts sufficient to constitute a cause of action against Air Tiger.

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the

allegations liberally and in context. In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (*Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994.) “A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed. (Code Civ. Proc., §§ 430.30, 430.70.) At the pleading stage, a plaintiff need only allege ultimate facts sufficient to apprise the defendant of the factual basis for the claim against him. (*Semole v. Sansoucie* (1972) 28 Cal. App. 3d 714, 721.) A “demurrer does not, however, admit contentions, deductions or conclusions of fact or law alleged in the pleading, or the construction of instruments pleaded, or facts impossible in law.” (*S. Shore Land Co. v. Petersen* (1964) 226 Cal.App.2d 725, 732 (internal citations omitted).)

Intentional Interference with Prospective Economic Advantage

Cross-Defendants demur to the first cause of action for intentional interference with prospective economic advantage on the grounds the Cross-Complaint does not adequately allege independently wrongful conduct or actual disruption of any economic relationship.

“To prevail on a cause of action for intentional interference with prospective economic advantage in California, a plaintiff must plead and prove (1) an economic relationship between the plaintiff and some third party, with the probability of future economic benefit to the plaintiff; (2) the defendant's knowledge of the relationship; (3) the defendant's intentional acts designed to disrupt the relationship; (4) actual disruption of the relationship; and (5) economic harm to the plaintiff proximately caused by the defendant's acts.” (*Reeves v. Hanlon* (2004) 33 Cal.4th 1140, 1152 fn.6, *italics added*.)

Cross-Defendants argue Cross-Complainants allege that Air Tiger's statements that doing business with them would involve or expose customers to “legal issues” constitute independently wrongful conduct because they are “false statements of fact,” but these statements are opinions, so not actionable. In *GetFugu, Inc. v. Patton Boggs LLP* (2013) 220 Cal.App.4th 141, the court noted “[t]he sine qua non of recovery for defamation . . . is the existence of falsehood.” [Citation.] Because the statement must contain a provable falsehood, courts distinguish between statements of fact and

statements of opinion for purposes of defamation liability. Although statements of fact may be actionable as libel, statements of opinion are constitutionally protected.” Further, Cross-Complainants allege only “upon information and belief” that “customers delayed, reduced, reconsidered, or diverted shipment business” but they do not identify any customer that ceased or reduced doing business with them or any shipment that was diverted because of Air Tiger’s alleged statements.

In opposition, Cross-Complainants argue the post-termination campaign of disparagement constitutes common law defamation. Cross-Complainants contend “the gist of ATE’s disparagement is that Mr. Huang and SFI are morally bereft villains whose knavish nature and illegal conduct imposes commercial, legal, and moral costs on anyone who does business with them[]” and these deprecatory statements were knowingly false and aimed at disrupting Mr. Huang’s and SFI’s economic relationships with third parties. The Cross-Complaint also identifies the specific customers targeted—Pilot Automotive, Elegance Enterprise, Kimera International, and Autophile Intelligence—and alleges that, as a direct result of ATE’s statements, those customers “questioned whether” to continue and “delayed, reduced, reconsidered, or diverted shipment business”.

GetFugu involved tweets that stated “GetFugu runs an organization for the benefit of its officers and directors, not shareholders and employees. The RICO suit was not frivolous. The 500K lawsuit is frivolous, however, so buyer be wary.” There, the court held the attorney’s “subjective reaction does not contain ‘provable facts,’ and no reasonable reader could understand these words as statements of actual working conditions.” Here, however, the allegations here go beyond opinion. The allegations that Huang should not be trusted and doing business with him or SFI would expose customers to “legal issues” and would expose customers to legal liability, commercial risk or improper business conduct are not general expressions of opinions but rather, suggest legal problems that exist. The court further finds Cross-Complainants have sufficiently alleged any customer that stopped or reduced doing business with them or any shipment that they lost because of Air Tiger’s alleged statements.

Based on the foregoing, the demurrer to the first cause of actions is OVERRULED.

Negligent Interference with Prospective Economic Advantage

Cross-Defendant demurs to the second cause of action for negligent

interference with prospective economic advantage on the grounds

Cross-Complainants do not allege a duty, independently wrongful conduct, or actual interruption of the relationship.

The tort of negligent interference with prospective economic advantage is established where a plaintiff demonstrates that (1) an economic relationship existed between the plaintiff and a third party which contained a reasonably probable future economic benefit or advantage to plaintiff; (2) the defendant knew of the existence of the relationship and was aware or should have been aware that if it did not act with due care its actions would interfere with this relationship and cause plaintiff to lose in whole or in part the probable future economic benefit or advantage of the relationship; (3) the defendant was negligent; and (4) such negligence caused damage to plaintiff in that the relationship was actually interfered with or disrupted and plaintiff lost in whole or in part the economic benefits or advantage reasonably expected from the relationship." (North American Chemical Co. v. Superior Court (1997) 59 Cal.App.4th 764, 786.)

Cross-Defendant argues Cross-Complainants have not adequately alleged that Air Tiger owed them an independent duty, and because Air Tiger is their competitor, they cannot. Cross-Complainants allege that Air Tiger "owed a duty not to interfere with economic relationships through false commercial representations", but no statute, contract, or other relationship imposes on Air Tiger a duty of care toward its competitors, and Cross-Complainants do not allege that the harm to them of Air Tiger's alleged conduct was foreseeable. Cross-Defendant also contends the cause of action fails to allege disruption of a specific economic relationship or an independently wrongful act.

In opposition, Cross-Complainant argues the allegations are sufficient to show duty under *J'Aire Corp. v. Gregory* (1979) 24 Cal.3d 799. Cross-Complainant contends the allegations sufficiently show Air Tiger knew of the specific customer relationships; directed its statements at those very customers, making the harm to Cross-Complainants not merely foreseeable but intended; the injury was reasonably certain and concrete; substantial moral blame attaches to deliberately false statements of legal risk; and the policy of deterring the poisoning of a competitor's customer relationships through falsehoods favors recognizing a duty.

The court finds the allegations sufficient for the pleading stage.

Based on the foregoing, the demurrer to the second cause of action is OVERRULED.

Trade Libel

Cross-Defendants demur to the trade libel cause of action on the grounds the statement they allege is insufficient for trade libel and they do not allege the required harm.

“Trade libel is the publication of matter disparaging the quality of another’s property, which the publisher should recognize is likely to cause pecuniary loss to the owner.” (ComputerXpress, Inc. v. Jackson (2001) 93 Cal.App.4th 993, 1010 [citing Leonardini v. Shell Oil Co. (1989) 216 Cal.App.3d 547, 572].) “The tort encompasses ‘all false statements concerning the quality of services or product of a business which are intended to cause that business financial harm and in fact do so.’” Id. “To constitute trade libel, a statement must be false.” (Id.) “Since mere opinions cannot by definition be false statements of fact, opinions will not support a cause of action for trade libel.” (Id. at 1010-11.)

Cross-Defendant argues Cross-Complainants do not allege that Air Tiger intentionally disparaged the quality of their property or business. The alleged statements—that doing business with Huang or SFI would involve “legal issues”—do not attack the quality of Cross-Complainants’ property or business, so they cannot be trade libel. Even if these statements were sufficient, Cross-Complainants do not allege any transaction or customer that was impacted by such statements.

In opposition, Cross-Complainant argues whether a statement disparages the “quality” of services rather than general reputation is a fact-laden question, and on the pleaded allegations the statements are actionable. Moreover, the Cross-Complaint also pleads the required special damages.

Here, the court finds the allegations sufficient.

Based on the foregoing, the demurrer to the third cause of action is OVERRULED.

Unfair Competition

Cross-Defendants demur to the unfair competition cause of action on the grounds Cross-Complainants do not allege a concrete and particularized injury from Air Tiger's alleged conduct to establish standing under section 17200.

To successfully plead a UCL claim for unfair business practices, a plaintiff must allege facts justifying relief in the form of protecting the public from unfair business practices or deceptive advertising. (Day v. AT&T Corp. (1998) 63 Cal.App.4th 325, 331-332.) A plaintiff must plead and prove that the defendant engaged in a business practice that was either unlawful (i.e., is forbidden by law) or unfair (i.e., harm to victim outweighs any benefit) or fraudulent (i.e., is likely to deceive members of the public). (Albillo v. Intermodal Container Services, Inc. (2003) 114 Cal.App.4th 190, 206.)

Cross-Defendant argues the Cross-Complaint does not identify any specific lost transaction or customer or quantifiable revenue decline that Air Tiger's alleged conduct caused. These conclusory allegations are insufficient to establish the particularized economic injury required for standing. Moreover, Cross-Complainants have not established the unlawful prong because the underlying interference and trade libel claims fail. In addition, Cross-Complainants do not allege that Air Tiger's conduct threatens or harms competition, so they do not sufficiently allege the "unfair" prong. Lastly, the Cross-Complaint states the conduct was fraudulent but alleges no facts.

The court finds the facts sufficient to state a claim for unfair business practices. The Demurrer is
OVERRULED.

Statute of Limitations

Cross-Defendants demur to the Cross-Complaint on the grounds all of Cross-Complainants' claims are based on alleged conduct in 2021, so under the applicable statutes of limitations, all their claims are time-barred and Cross-Complainant does not sufficiently allege late discovery, equitable estoppel, tolling, or continuous accrual doctrine.

The court finds the late discovery allegations sufficient for the purposes of a demurrer. The Cross-Complaint alleges Cross-Complainants did not discover ATE's wrongful conduct because it consisted of private communications to third-party customers and they only discovered it in October 2025 through customer interviews conducted during investigations. (First Amend. XC ¶¶38-39.)

Accordingly, the court overrules the demurrer based on the statute of limitations.